Chapter 3. Stratified Random Sampling

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1 Introduction

Definition 3.1

A **stratified random sample** is obtained by separating the population into non-overlapping groups called **strata** and then selecting a simple random sample from each stratum, independently across strata.

Because the strata are sampled independently, each stratum can be treated as a separate population. Stratification pays off when the variation *between* strata is large (the strata are internally homogeneous). Model-wise, SRS uses $y_i = \mu + \varepsilon_i$, while stratified sampling uses $y_{ij} = \mu_j + \varepsilon_{ij}$: each stratum has its own mean. Once the selection procedure is fixed, the design questions are

- how many strata to construct,
- how to allocate the total sample size to the strata,
- how to choose the strata.

2 Notation

Strata are indexed by $j = 1, \ldots, L$ and units within a stratum by i; y_{ij} is the observation on unit i of stratum j. Sampling within each stratum is SRS without replacement.

N_j, n_j	population and sample size of stratum j; $N = \sum N_j$, $n = \sum n_j$
$w_j = N_j/N$	stratum weight
$f_j = n_j/N_j$	sampling fraction in stratum j
$\mu_j = \frac{1}{N_j}\sum_{i=1}^{N_j} Y_{ij}$	true stratum mean
$\bar{y}_j = \frac{1}{n_j}\sum_{i=1}^{n_j} y_{ij}$	sample stratum mean
$\sigma_j^2 = \frac{1}{N_j}\sum_i (Y_{ij}-\mu_j)^2$	true stratum variance
$S_j^2 = \frac{N_j}{N_j-1}\sigma_j^2$	stratum variance with divisor $N_j - 1$
$s_j^2 = \frac{1}{n_j-1}\sum_{i=1}^{n_j}(y_{ij}-\bar{y}_j)^2$	sample stratum variance

3 Estimation of the Population Mean

Theorem 3.2: Stratified estimator of μ

$$\bar{y}_{\text{st}} = \frac{1}{N}\sum_{j=1}^{L} N_j \bar{y}_j = \sum_{j=1}^{L} w_j \bar{y}_j$$

is unbiased for μ, with

$$\operatorname{Var}(\bar{y}_{\text{st}}) = \sum_{j=1}^{L} w_j^2 (1-f_j)\frac{S_j^2}{n_j}, \qquad \widehat{\operatorname{Var}}(\bar{y}_{\text{st}}) = \sum_{j=1}^{L} w_j^2 (1-f_j)\frac{s_j^2}{n_j}, \qquad \mathrm{E}[\widehat{\operatorname{Var}}(\bar{y}_{\text{st}})] = \operatorname{Var}(\bar{y}_{\text{st}}).$$

A $100(1-\alpha)\%$ interval is $\bar{y}_{\text{st}} \pm z_{\alpha/2}\sqrt{\widehat{\operatorname{Var}}(\bar{y}_{\text{st}})}$.

Proof. Each $\bar{y}_j$ is an SRS mean, so by Ch. 2, $\mathrm{E}(\bar{y}_j) = \mu_j$, $\operatorname{Var}(\bar{y}_j) = (1-f_j)S_j^2/n_j$ and $\mathrm{E}(s_j^2) = S_j^2$. Thus

$$\mathrm{E}(\bar{y}_{\text{st}}) = \sum_j w_j \mu_j = \frac{1}{N}(N_1\mu_1 + \cdots + N_L\mu_L) = \frac{1}{N}(\tau_1 + \cdots + \tau_L) = \frac{\tau}{N} = \mu.$$

Since the strata are sampled independently the covariances vanish and $\operatorname{Var}(\bar{y}_{\text{st}}) = \sum_j w_j^2 \operatorname{Var}(\bar{y}_j)$. Unbiasedness of $\widehat{\operatorname{Var}}$ follows from $\mathrm{E}(s_j^2) = S_j^2$. ∎

4 Estimation of the Population Total

Theorem 3.3

$\hat{\tau}_{\text{st}} = N\bar{y}_{\text{st}} = \sum_{j=1}^{L} N_j \bar{y}_j$ is unbiased for τ, and

$$\operatorname{Var}(\hat{\tau}_{\text{st}}) = N^2 \operatorname{Var}(\bar{y}_{\text{st}}) = \sum_{j=1}^{L} N_j^2 (1-f_j)\frac{S_j^2}{n_j}, \qquad \widehat{\operatorname{Var}}(\hat{\tau}_{\text{st}}) = \sum_{j=1}^{L} N_j^2 (1-f_j)\frac{s_j^2}{n_j}.$$

Example 3.4: TV-viewing time

	N_j	w_j	n_j	$\bar{y}_j$	s_j
Town A	155	0.5	20	33.90	5.95
Town B	62	0.2	8	25.12	15.25
Rural	93	0.3	12	19.00	9.36
Total	310		40		

Mean.

$$\bar{y}_{\text{st}} = \frac{155(33.90) + 62(25.12) + 93(19.00)}{310} = \frac{8578.94}{310} = 27.67.$$

$$\begin{aligned}\widehat{\text{Var}}(\bar{y}_{\text{st}}) &= (0.5)^2 \frac{5.95^2}{20}\left(1 - \frac{20}{155}\right) + (0.2)^2 \frac{15.25^2}{8}\left(1 - \frac{8}{62}\right) + (0.3)^2 \frac{9.36^2}{12}\left(1 - \frac{12}{93}\right) \\ &= 0.385 + 1.013 + 0.572 = 1.97,\end{aligned}$$

so the estimate with a 2-SD bound is $27.67 \pm 2\sqrt{1.97} = 27.67 \pm 2.81$.
Total. $\hat{\tau}_{\text{st}} = 310(27.67) = 8579$, $\widehat{\text{Var}}(\hat{\tau}_{\text{st}}) = 310^2(1.97) \approx 189{,}400$, and the bound is $2\sqrt{189{,}400} \approx 870$.

5 Sample Size for Estimating μ and τ

Setting $2\sqrt{\text{Var}(\bar{y}_{\text{st}})} = B$ alone cannot be solved for n; we must also fix how n is split among the strata. Write the allocation as $n_j = n a_j$ with $\sum a_j = 1$.

Theorem 3.5: Sample size for a given allocation

$$n = \frac{\sum_{j=1}^{L} N_j^2 S_j^2 / a_j}{N^2 D + \sum_{j=1}^{L} N_j S_j^2}, \qquad D = \begin{cases} B^2/4 & \text{for } \mu, \\ B^2/(4N^2) & \text{for } \tau, \end{cases}$$

with S_j^2 replaced by prior estimates s_j^2 in practice.

Derivation

For μ let $D = (B/2)^2 = \text{Var}(\bar{y}_{\text{st}}) = \sum_j w_j^2 \frac{S_j^2}{n_j}(1 - \frac{n_j}{N_j})$. Multiply by N^2 and substitute $n_j = n a_j$:

$$N^2 D = \sum_j N_j^2 \frac{S_j^2}{n a_j} - \sum_j N_j S_j^2 \implies n\Big(N^2 D + \sum_j N_j S_j^2\Big) = \sum_j \frac{N_j^2 S_j^2}{a_j}.$$

For τ, $\text{Var}(\hat{\tau}_{\text{st}}) = N^2 \text{Var}(\bar{y}_{\text{st}}) = B^2/4$ gives the same formula with $D = B^2/(4N^2)$. (Using 1.96 instead of 2 replaces $D = (B/2)^2$ by $(B/1.96)^2$.)

Example 3.6: Equal allocation

For the TV population ($N_j = 155, 62, 93$) with prior variances $s_1^2 = 25$, $s_2^2 = 225$, $s_3^2 = 100$, equal allocation $a_j = 1/3$ and $B = 2$ for μ ($D = 1$):

$$n = \frac{3(155^2 \cdot 25 + 62^2 \cdot 225 + 93^2 \cdot 100)}{310^2(1) + (155 \cdot 25 + 62 \cdot 225 + 93 \cdot 100)} = \frac{6{,}991{,}275}{123{,}225} = 56.7,$$

so $n = 57$ and $n_1 = n_2 = n_3 = 19$.

6 Allocation of the Sample

Let the survey cost be

$$TC = c_0 + \sum_{j=1}^{L} c_j n_j,$$

where c_0 is the overhead cost and c_j the cost per observation in stratum j.

6.1 Equal allocation

$n_j = n/L$. Then $TC = c_0 + \frac{n}{L}\sum c_j$, so $n = \dfrac{(TC - c_0)L}{\sum_j c_j}$.

6.2 Proportional allocation

$n_j = nw_j = nN_j/N$, i.e. $a_j = w_j$ and all $f_j = f$ are equal. Then $TC = c_0 + n\sum c_j w_j$, so $n = \dfrac{TC - c_0}{\sum_j c_j w_j}$; if $c_j \equiv c$, $n = (TC - c_0)/c$. The estimator becomes self-weighting: $\bar{y}_{\text{st}}$ equals the plain mean of all n observations.

6.3 Optimum allocation

Theorem 3.7: Optimum allocation

For a fixed total cost (equivalently, for a fixed variance) $\mathrm{Var}(\bar{y}_{\text{st}})$ is minimized when

$$n_j \propto \frac{w_j S_j}{\sqrt{c_j}}, \qquad \text{i.e.} \qquad n_j = n\,\frac{w_j S_j/\sqrt{c_j}}{\sum_k w_k S_k/\sqrt{c_k}},$$

and the total sample size under a budget TC is

$$n = \frac{(TC - c_0)\sum_k w_k S_k/\sqrt{c_k}}{\sum_k w_k S_k \sqrt{c_k}}.$$

Derivation: Cauchy–Schwarz argument

Split the variance into the part depending on the allocation and a constant:

$$\mathrm{Var}(\bar{y}_{\text{st}}) = \sum_j w_j^2 \frac{S_j^2}{n_j}\Big(1 - \frac{n_j}{N_j}\Big) = \underbrace{\sum_j \frac{w_j^2 S_j^2}{n_j}}_{V'} - \underbrace{\sum_j \frac{w_j S_j^2}{N}}_{\text{const}}.$$

Let $C' = TC - c_0 = \sum_j c_j n_j$. Minimizing V' for fixed C', or C' for fixed V', is the same as minimizing the product

$$V'C' = \Big(\sum_j \frac{w_j^2 S_j^2}{n_j}\Big)\Big(\sum_j c_j n_j\Big) = \Big(\sum_j a_j^2\Big)\Big(\sum_j b_j^2\Big), \quad a_j = \frac{w_j S_j}{\sqrt{n_j}},\ b_j = \sqrt{c_j n_j}.$$

By the Cauchy–Schwarz inequality

$$V'C' \geq \Big(\sum_j a_j b_j\Big)^2 = \Big(\sum_j w_j S_j \sqrt{c_j}\Big)^2,$$

whose right-hand side does not depend on the n_j. Equality holds iff b_j/a_j is constant:

$$\frac{b_j}{a_j} = \frac{n_j\sqrt{c_j}}{w_j S_j} = \text{const} \iff n_j \propto \frac{w_j S_j}{\sqrt{c_j}}.$$

Substituting $n_j = n\,\frac{w_j S_j/\sqrt{c_j}}{\sum_k w_k S_k/\sqrt{c_k}}$ into $TC = c_0 + \sum c_j n_j$ gives $TC = c_0 + n\alpha$ with $\alpha = \frac{\sum_k w_k S_k \sqrt{c_k}}{\sum_k w_k S_k/\sqrt{c_k}}$, so $n = (TC - c_0)/\alpha$.

We therefore take a larger sample in a stratum that is (1) larger, (2) more variable, or (3) cheaper to sample.

6.4 Neyman allocation

Theorem 3.8: Neyman allocation

If the costs are equal, $c_j \equiv c$, the optimum allocation becomes

$$n_j = n\,\frac{w_j S_j}{\sum_k w_k S_k} = n\,\frac{N_j S_j}{\sum_k N_k S_k}.$$

Example 3.9: Neyman allocation for the TV data

With $n = 40$ and $N_j s_j = 922.3,\ 945.5,\ 870.5$ (sum 2738.2), the Neyman allocation is

$$n_1 = 13.5, \quad n_2 = 13.8, \quad n_3 = 12.7 \ \Rightarrow\ (13, 14, 13),$$

compared with the proportional allocation $(20, 8, 12)$ actually used. The small but very variable Town B gets many more observations. Treating s_j as S_j, the variance of $\bar{y}_{\text{st}}$ drops from 1.97 (proportional) to about 1.66 (Neyman).

7 Estimation of a Population Proportion

With $y_{ij} \in \{0, 1\}$ the stratum mean $\bar{y}_j$ is the stratum proportion $\hat{p}_j$, and

$$\hat{p}_{\text{st}} = \frac{1}{N}(N_1\hat{p}_1 + \cdots + N_L\hat{p}_L) = \sum_j w_j \hat{p}_j, \qquad \mathrm{E}(\hat{p}_{\text{st}}) = \sum_j w_j p_j = p.$$

Theorem 3.10

$$\mathrm{Var}(\hat{p}_{\text{st}}) = \sum_j w_j^2 \frac{p_j q_j}{n_j}\Big(\frac{N_j - n_j}{N_j - 1}\Big), \qquad \widehat{\mathrm{Var}}(\hat{p}_{\text{st}}) = \sum_j w_j^2 \frac{\hat{p}_j \hat{q}_j}{n_j - 1}(1 - f_j),$$

and a $100(1-\alpha)\%$ interval for p is $\hat{p}_{\text{st}} \pm z_{\alpha/2}\sqrt{\widehat{\mathrm{Var}}(\hat{p}_{\text{st}})}$.

These follow from Ch. 2 applied stratum by stratum, the divisor $n_j - 1$ making each term unbiased.